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ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS

ECONOMIC SURVEYS BY THE OECD

ITALY

1963

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the O.E.C.D. shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

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ITALY

1. The Italian economy achieved again in 1961 a considerable increase of total output in conditions of internal financial stability, a high rate of investment and a substantial surplus in the balance of payments. Thus, for a third year in succession, the high average growth-rate of the nineteen-fifties has been significantly exceeded without the occurrence of any important internal economic strains. Such steady growth has already yielded very considerable results in terms of higher employment and real incomes, of an improved economic structure and of a remarkably strong balance of payments position.

2. In the first part of 1962 the level of economic activity remained high, but the rate of expansion was lower than in late 1961. The short-term prospects for total output and demand continue to be favourable. However, price increases have been rather marked in recent months; and developments in some foreign markets may affect temporarily the growth of Italian exports. As regards the longer-term outlook, it seems likely that the underlying factors of rapid growth should continue to operate during the next few years, assuming normal conditions in world markets and appropriate adjustments of Italian public policy as may be necessary. But the very performances of the Italian economy have helped to underline the fact that some of the country's major economic problems have not yet been solved, despite real progress made towards their solution. Of great prominence among such problems is the situation and economic prospects of the less developed — mainly Southern — provinces, with a population of about 20 million. On the other hand, the changes of economic structure that have taken place create new problems for public policy — for instance the increased requirements for basic infrastructures and the urgent need for improvements in education and training. Against this background, the Italian Government has recently decided that there is need for general economic planning and that a first national long-term plan should be prepared.

I. Output and demand

Total output and demand

3 The phase of rapid expansion, begun in the summer of 1959, had given way progressively in late 1960 and the early part of 1961 to lower rates of growth. But a stronger export demand, good harvests,

an appreciable increase of wage incomes and the maintainance of investment at high levels combined to produce a vigorous upward trend in the autumn of 1961. The figures available so far for the year 1962 indicate a continuation of the expansionary trend, though at a somewhat slower pace.

4. Gross national product had increased in volume by 7.1 per cent in 1960, although there had been a drop in agricultural output and a levelling off in housebuilding. In 1961, the growth of the national product by the record figure of 8 per cent was more uniformly divided by sectors, as shown in Table 1. But even the 7.3 per cent increase of agricultural output last year (2.3 per cent if compared to 1959) made a limited contribution to total growth, since agriculture accounts at present for less than a fifth of the national product compared to more than a quarter in 1953-1954. It was the industrial sector which made again last year the greatest contribution (nearly 50 per cent at constant prices) to the increase of the gross national product. The annual rise of industrial output was 9.6 per cent, whereas the increase from 1959 to 1960 had been 13.7 per cent. But the latter figure reflects the relative stagnation of the first half of 1959; in fact, the rise of the industrial production index in the course of 1961 was higher than the increase which took place in the course of 1960. Despite an appreciable rise in consumption expenditure, the rate of investment was particularly high in 1961: net investment was 16.6 per cent of the net national product, compared to 15.9 per cent in 1960 and to an average of 12.4 per cent during the period 1950-1960. Moreover, the external surplus on account of goods and services, which had fallen in 1960 from 350 to 60 billion lire due to an exceptionally large increase of imports, rose last year to 172 billion, i.e. to 0.8 per cent of G.N.P. Thus, the growth of domestic demand was significantly smaller than the increase of the gross national product and the rate of real saving exceeded one quarter of the latter.

Demand factors

5. The steep rise of exports from mid-1959 to early 1960 had provided the initial impetus to the last boom. For the rest of that year, and to a lesser extent during the early part of 1961, the progress of total exports was much slower. A similar slowing-down of the growth of fixed investment was noticed roughly from the middle of 1960 to the summer of 1961. Finally, the extensive stock-building connected with the early phase of the cycle was followed, since the latter part of 1960, by smaller variations in the stocks of raw materials and semi-finished products. Seen in retrospect, the period from July 1960 to the spring of 1961 has been described as a slight recession for the Italian economy.[1] This description, however, should be taken in a very relative sense, since

1. Relazione Generale 1961, chapter V.

Table 1. SUPPLY AND USE OF RESOURCES

	1961 AT CURRENT PRICES		ANNUAL PERCENTAGE VOLUME INCREASES (IN 1954 PRICES)				
	BILLION LIRE	%	5 YEARS AVERAGES 1951-55	5 YEARS AVERAGES 1956-60	1959	1960	1961
Private consumption	13,194	60.2	4.5	4,5	5.4	6.9	7.0
Public consumption	3,188	14.5	8.3	6.6	6.6	6.2	5.5
Fixed investment	5,058	23.1	9.4	8.9	10.1	15.5	11.5
Changes in stocks (billion lire)	300	1.4	...	...	(+ 158)	(+ 319)	(+ 312)
Exports of goods and services	3,923	17.9	11.3	14.8	16.6	18.9	16.9
Total use of resources	25,663	117.1	6.3	7.0	7.9	11.0	9.2
Imports of goods and services	3,751	17.1	9.5	14.3	9.9	37.0	15.1
Gross National Product at Market Prices	21,912	100.0	6.0	5.9	7.7	7.1	8.0
Gross domestic product at factor cost[1]	19,115	100.0	6.3	5.8	7.1	7.4	7.5
of which:							
Agriculture, forestry and fisheries	3,297	17.0	3.6	1.7	2.6	— 5.0	7.3
Mining, manufacturing and public utilities	7,062	36.3	9.5	8.6	11.2	13.7	9.6
Construction	1,405	7.2	20.0	7.7	9.8	4.5	7.5
Other (transport, commerce, banking, public administration, and miscellaneous services)	7,675	39.5	3.6	4.9	4.4	7.5	7.3

1. Adjusted to offset some duplications in estimates by sectors.

Source: Information supplied by the Italian authorities.

industrial production and non-farm employment continued to increase all the time. On the whole, the underlying long-term expansionary trend proved to be quite strong; and the partial weakening of certain demand factors did not have a significant effect on the level of global demand.

6. The resumption of industrial expansion after the summer holidays of 1961 was unexpectedly vigorous, while other indicators of general economic activity also began to show steeper rises. Once again, an important impulse had come from a renewed rapid growth of exports; this was partly due to better crops of agricultural products and to brighter conditions in some foreign markets (notably the U.S.A.), but also to the continuing strong competitive position of many manufacturing exports which registered new important gains. Investment demand (as evaluated through statistics of production and imports of investment goods) seemed also to expand again at a quicker pace. But the factor which had progressively acquired an increased role in sustaining a high level of activity was the growth of private consumption. Higher agricultural incomes played a certain part in this, but of a more important influence were the continuing growth of employment in industry and services and the fact that increases in effective money wages exceeded those of recent years. Although the phases of the cycle dit not coincide with the calender years, the figures in Table 2 illustrate sufficiently the increased weight of private consumption in the growth of total demand. This upturn in consumers' expenditure must also have helped to sustain private investment both directly and through its effects on the medium-term expectations of businessmen.

TABLE 2. GROWTH OF DEMAND AND REAL SAVINGS

Billion lire at current prices.

	INCREASES OVER PREVIOUS YEAR			
	1960	%	1961	%
1. Private consumption	879	34.5	959	40.4
2. Public consumption	247	9.7	292	12.3
3. Gross investment	811	31.8	612	25.8
4. Exports of goods and services	610	23.9	512	21.6
5. Global demand	2.547	100.0	2.375	100.0
6. Imports of goods and services	900		400	
7. Gross national product at market prices	1.647		1.975	
8. Real savings (gross investment + export surplus on goods and services) as a percentage of G.N.P.		24.1		25.2

Source: Information supplied by the Italian authorities.

7. The public sector has not exerted a substantial expansionary influence in the period under review, the global cash deficit in the last two years having been greatly reduced as compared to 1959. It should, however, be noted that the deficits registered in conditions of a booming economy were not insignificant, that a high volume of public investment was maintained and that the absolute level of public expenditure continued to rise.

8. During the first nine months of 1962, exports of goods and services remained high. Consumers' expenditure has probably continued to grow appreciably, the more notable increases taking place again in durables, other commodities of a non-essential type and on various services. Private fixed investment seems to have retained the high levels recently achieved. The general impression from production statistics and other economic indicators is that the rate of growth of total demand is smaller than in the last winter but that expansion clearly continues. According to the latest surveys, short-term expectations of businessmen are still optimistic; stocks of finished products are generally low; and the volume of domestic orders remains high in most branches of industry; but export orders are rather lower, especially for investment goods.

Agriculture

9. As was mentioned above, improved harvests for most crops in 1961 resulted in a 7.3 per cent volume increase of the agricultural sector's product, after a 5 per cent fall in the previous year; due to higher prices received by farmers, the rise measured in current prices exceeded 10 per cent. Substantial increases took place in the case of horticultural products, for which both domestic and foreign demand proved particularly strong. But the total output of animal products marked for once a decline, largely because of unfavourable climatic conditions for animal feed. The restrictive measures on imports of meat, butter, etc. have been progressively reinforced last year. The increase in the value-added by the agricultural sector was particularly high in the South, where the relative weight of this sector is also higher; this was the main reason why — for the first time in several years — the percentage rise of the estimated gross regional product in 1961 was greater in the South than in the North. The volume of gross agricultural investment (largely supported by public funds) was also higher last year in the South, although for the whole of Italy it was slightly lower than in 1960, when it had shown an exceptional increase of about 18 per cent. The failure of investment in agriculture to continue growing must be linked to the delays in the approval and application of the special legislation passed last year (the " Green Plan "). Preliminary estimates for 1962 indicate a very limited increase of the volume of agricultural output. The harvests of summer cereals have been very favourable, but a dry spell of weather last summer has affected severely a number of crops in

TABLE 3. INDUSTRIAL PRODUCTION
Per cent increase over preceeding quarter seasonally adjusted indices[1]

	1960				1961				1962		
	I	II	III	IV	I	II	III	IV	I	II	III
1. GENERAL INDEX	4.2	3.4	1.1	1.2	2.5	2.3	2.2	6.1	1.8	– 0.3	0.2
2. INTERMEDIATE GOODS	6.1	2.4	1.7	2.1	1.8	2.9	2.3	8.3	1.5	0.8	0.3
of which:											
3. Chemical Industries	6.0	4.4	1.1	0.4	2.5	6.0	0.9	11.4	0.9	2.6	—1.9
4. CONSUMERS' GOODS	3.0	2.0	1.6	– 0.6	0.9	1.8	1.8	8.0	0.1	0.9	—
of which:											
5. Textiles	3.1	3.1	– 0.1	– 4.0	– 0.4	2.9	1.5	– 1.1	4.0	2.5	—
6. Motor vehicles	3.9	0.1	– 3.5	– 4.0	7.8	7.4	8.7	16.6	9.2	– 3.9	2.4
7. INVESTMENT GOODS	3.8	5.4	0.3	2.1	4.5	2.3	2.5	2.9	3.7	– 2.1	0.4
of which:											
8. Steel industry	7.2	2.3	– 0.5	2.2	4.9	3.4	– 0.3	1.5	4.5	– 2.9	2.0
9. Metal products industries[2]	3.4	7.3	1.1	2.5	3.9	6.1	2.2	2.5	2.2	– 3.1	– 3.6
10. Transport equipment	2.7	3.7	– 2.3	– 2.1	6.2	2.9	6.1	8.7	3.9	– 2.1	3.6
11. Cement	3.5	7.2	0.9	0.3	15.5	– 13.6	11.6	1.0	8.7	– 1.5	5.0

1. The formulae of seasonal adjustments have recently been amended; consequently, the figures for the last few years have been revised.
2. Excluding transport equipment.

Source: I.S.C.O.

several regions. However, some rise in farmers' incomes and the progressive application of the " Green Plan " might lead to an expansion of agricultural investment in the coming months.

Industry

10. After the remarkable progress of recent years, industrial production has been running at more than double its 1953 level since the autumn of 1961. The average value of the general index for 1961 was 199.7. Investment goods industries continued, as a general rule, to show much greater gains than consumers' goods industries, except for the fourth quarter of 1961 when there was a steep rise in the (seasonally adjusted) index of the latter group. Many investment goods branches benefited last year not only from brisk domestic demand, but also from increased exports. But the iron and steel industry worked practically at full capcity, although its exports fell and the corresponding imports increased; production of steel rose in 1961 by nearly 11 per cent to 9.1 million tons, but estimated consumption rose by 16 per cent to some 10.5 million tons. For the first nine months of 1962, the average index of industrial production (unadjusted) was 9.8 per cent higher than in the same period of 1961. For the four months June to September, however, the increase over the corresponding period of 1961 was 7.1 per cent and for September it was only 3.9 per cent. This slowing down was partly due to some important strikes which affected mainly the iron and steel and metalworking industries. Despite the preceding widespread increases in industrial output, 64 per cent of the firms questioned in a business survey last July have stated that they could increase their production further with the means already available; in the investment goods sector, the positive replies were 53 per cent. An explanation of this situation lies in the fact that the volume of fixed investment in industry, which has increased by 19 per cent in 1960, rose again last year by 17 per cent; but also in the slower growth of output in the more recent period. As regards construction activity, its volume increase in 1961 almost reached the average of the previous five years, due to a renewed expansion in housebuilding and to a considerable increase in non-residential building. In the first seven months of 1962, there was a decline in the growth of construction, caused largely by unfavourable weather conditions.

Employment

11. The natural increase of the population in 1961 was about 460,000, compared to an average of about 430,000 for 1959-1960, and net emigration (163,000) continued to rise from the low point of 1959 (96,000). As regards employment, it is recalled that no accurate current statistics exist. An approximate measure is provided by the sample quarterly surveys of the Institute of Statistics; but the direction of changes shown by these surveys and the orders of magnitude involved

TABLE 4. TREND OF PRICES
(Indices: 1953 = 100)

a) LONG-TERM DEVELOPMENTS

WHOLESALE PRICES			CONSUMERS' PRICES		
PERIOD	GENERAL INDEX	% INCREASE ANNUAL RATES	PERIOD	GENERAL INDEX	% INCREASE ANNUAL RATES
From January 1954	99.2	0.4	From January 1954	101.8	3.0
to August 1956	101.0		to May 1956	109.2	
From August 1956		8.7	From May 1956		—
to January 1957	104.4		to June 1957	109.3	
From January 1957		— 2.4	From June 1957		4.8
to July 1959	97.0		to June 1958	114.5	
			From June 1958		— 2.4
			to July 1959	112.0	
July 1959		4.9	July 1959		6.2
January 1960	99.5		January 1960	115.3	
January 1960		— 0.6	January 1960		1.2
September 1961	98.6		September 1961	118.1	
September 1961		3.7	September 1961		5.2
September 1962	102.2		September 1962	124.2	

b) RECENT DEVELOPMENTS

Percentage increase — annual rates.

PERIOD	WHOLESALE PRICES			CONSUMERS' PRICES		
	GENERAL INDEX	AGRI-CULTURAL PRODUCTS	NON-AGRI-CULTURAL PRODUCTS	GENERAL INDEX	FOOD PRODUCTS[1]	NON-FOOD PRODUCTS AND SERVICES
From: - to:						
December 1959-June 1960	— 1.8	— 4.8	— 0.8	6,6	— 1,4	2,4
June 1960-December 1960	1.2	6.0	— 0.2	2.2	0.8	3.8
December 1960-June 1961	— 0.6	— 4.0	0.2	1.8	— 0.6	4.6
June 1961-December 1961	2.4	9.4	0.6	3.8	4.0	3.4
December 1961-September 1962	3.1	7.2	1.9	5.1	4.1	6.0

1. Including drink and tobacco.
Sources: I.S.T.A.T. and I.S.C.O.

are consistent with all other available information.[1] It is estimated that the movement of workers away from agriculture, which is clearly gaining momentum, affected about 320,000 persons last year of which nearly 300,000 males. But the increase of jobs in industry by 420,000 and in services by some 200,000 resulted in a net rise of employment by about 300,000 or 1.5 per cent compared to 1960. The increase of hired employment in industry is put at 6.4 per cent. These developments (and the rise in net emigration) resulted in a substantial fall of unemployment, confirmed by the movement of both the existing series. These trends continued in 1962; according to the sample survey of last July, total employment was about 150,000 higher than in July 1961, the increases in industry and services (300,000 and 110,000 respectively) exceeding again a decline of some 260,000 in agriculture. Although Italy's labour reserves are far from being exhausted, islands of full employment have already emerged in the industrialised North and the internal migration of workers from the South has accelerated. Moreover, difficulties in recruiting labour with special skills are being reported to an increasing extent; but these partial difficulties do not seem to constitute as yet a serious obstacle to further industrial expansion.

II. The internal financial situation

Prices and wages

12. The mean annual retail price index went up by 2.1 per cent in 1961; furthermore, the national accounts figures indicate that prices for private consumption increased by 1 per cent only. Since September 1961, however, price increases have become more pronounced; in the twelve months to September 1962, wholesale prices increased by 3.7 per cent and consumers' prices by 5.2 per cent. The rise in wholesale prices mainly affects agricultural produce; the prices of capital goods have remained relatively stable and those of intermediate producers' goods continue to fall. Similarly, the rise in the retail index is partly due to increases in food prices, rent and services; but the rise in the commodities other than food covered by the index has also been marked. Price rises on the same scale have been recorded in the past — for instance in the second half of 1959 — without endangering price stability. But the recent trend of non-food commodities at retail level suggests a more widespread movement of prices. The average index of contractual wages in industry for 1961 was 3.8 per cent higher than in 1960, but actual wages have very probably gone up faster. Hourly earnings in the group of manufacturing industries covered by the existing statistics rose by 6 per cent last year. During the current year, there have been several automatic increases of contractual wages, following

1. The estimates of unemployment based on the I.S.T.A.T. surveys continue to be much lower than the numbers of those inscribed in labour exchanges, as the definitions and purposes of the two series are quite different. A special committee was formed to study this subject, but its findings are not yet known.

TABLE 5. MONEY AND CREDIT

Billion lire.

	1958	1959	1960	1961	1960		1961		1962
					1st HALF	2nd HALF	1st HALF	2nd HALF	1st HALF
1. CHANGES IN MONEY SUPPLY	+ 519	+ 804	+ 888	+ 1.245	− 11	+ 899	+ 61	+ 1.184	+ 165
a) Note circulation	+ 153	+ 184	+ 196	+ 360	− 118	+ 314	− 77	+ 437	− 103
b) Sight deposits	+ 366	+ 620	+ 692	+ 885	+ 107	+ 585	+ 138	+ 747	+ 268
2. CHANGES IN SAVINGS DEPOSITS[1]	+ 685	+ 666	+ 686	+ 932	+ 213	+ 473	+ 293	+ 639	+ 463
3. TOTAL	+ 1.204	+ 1.470	+ 1.574	+ 2.177	+ 202	+ 1.372	+ 354	+ 1.823	+ 628
4. COUNTERPART:									
a) Claims on Government	+ 310	+ 34	+ 104	+ 28	− 42	+ 146	− 10	+ 38	+ 166[4]
b) Claims on the private sector	+ 376	+ 832	+ 1.442	+ 1.572	+ 502	+ 940	+ 481	+ 1.091	+ 763
c) External assets[2]	+ 584	+ 539	+ 210	+ 681	+ 42	+ 168	+ 75	+ 606	− 224[4]
d) Miscellaneous[3]	− 66	+ 65	− 182	− 104	− 300	+ 118	− 192	+ 88	...

1. Except Government deposits.
2. Including net I.M.F. position.
3. Residual item.
4. Five months at half-yearly rates.

Source: I.M.F. International Financial Statistics.

the rise of the cost of living. The industrial wage index last September was about 10 per cent higher than in September 1961. There is some evidence that the steeper wage increases have resulted in higher unit labour costs in the more recent period; but it should be recalled that unit labour costs had probably been falling during the previous years.

Money and credit

13. The impetus in economic activity has meant continued demand for a high level of liquidity. The money supply went up by nearly 17 per cent in 1961 (though the growth between November 1960 and November 1961 was 13 per cent), and it continued to expand in the course of 1962. A very marked growth in money supply compared with the growth rate of the national product seems natural in a country which is undergoing wide structural changes and cannot be regarded as excessive in the light of internal and external financial developments. Time deposits have increased even faster than the money supply. Bank credits and, to a somewhat lesser extent, the balance of payments surplus have continued to be the two main sources of liquidity. In contrast, the public sector has been virtually neutral for most of the period under review.

14. At the same time that the liquidity in the hands of the public was increasing, bank liquidity has been falling steadily since mid-1959 under the combined influence of the rapid rise in credits, the decline in the balance of payments surplus, and the reduction of the budget deficit. For a certain time the banks were able to finance their loss in liquidity from the reserves previously built up. The Bank of Italy has made use of the Exchange Office to provide liquidity for the commercial banks. In January 1962, it decided to reduce, for the first time since 1947, the obligatory reserves coefficient from 25 per cent to 22.5 per cent of deposits. This action freed nearly 200 billion lire. Measures of reform affecting the money and capital market have very recently been taken, including a change of the system of issuing Treasury bills. It is expected that these measures will help to keep down interest rates and will result in higher investment in bonds by the commercial banks.

15. There were some variations in the financing of private investment during 1961. The role of the capital market was appreciably smaller after the exceptional activity recorded in 1960; share and bond issues amounted to 16 per cent only of private investment compared with 22 per cent in 1960 and 12 per cent in 1959. One of the reasons for this is that part of the money raised by industrial companies on the capital market in 1960 was not in fact utilised until 1961. The fall in share and bond issues was offset by the growth of medium and long-term credits, with the result that these two sources of supply have gone up slightly, though they represent no more than 33 per cent of private investment compared with 38 per cent in 1960. Investments financed from amortization funds, profits and short-term credits have gone up,

TABLE 6. FINANCING OF PRIVATE INVESTMENT

Billion lire.

	1959	1960	1961
1. Issues of shares and bonds	338	748	637
2. Medium and long-term credit from special credit institutions	351	359	705
3. (= 1 + 2 + misc.) External financing, except short-term	735	1,317	1,349
4. Depreciation allowances	1,207	1,340	1,475
5. Other sources[1]	857	797	1,198
6. (= 3 + 4 + 5) Total private gross investment[1]	2,799	3,454	4,022

1. The figures for total private investment are from the national accounts estimates. Therefore, item 5 is largely calculated as a residual. It includes individuals' self-financed investments, corporations' other self-financing and the net balances of short-term operations with banking and credit institutions.

Source: Bank of Italy, Annual Reports.

mainly because of short-term credits, a large part of which have been used for the initial financing of fixed investment.

16. After the increase in private and public issues in 1960, total issues on the capital market remained almost stationary last year. Public debt repayments were slightly more than new issues, whereas in 1960 net Treasury issues amounted to lire 123 billion. On the other hand, there has been an appreciable increase in issues by the Consortium for Public Works and other financial institutions responsible for financing official investment plans extending over several years. Non-government issues remained practically at the 1960 level, the increase of the bonds issued by the credit institutions having roughly offset the fall in issues made by companies. The first issue of bonds by the International Bank for Reconstruction and Development was made in 1961. Early in 1962, the authorities combined an issue of 114 billion lire by the Consortium for Public Works with the redemption of maturing Treasury bonds in such a way as to avoid absorption of liquidity by the public sector; in fact, the funds of the Consortium issue will not be used before 1963. Furthermore, the repayment of lire 192 billion of Treasury bonds maturing in January 1963 has just been announced, with the declared intention of injecting liquidity into the market. In the first eight months of 1962, share issues were slightly higher than in the corresponding period of 1961, but bond issues were much lower. After the recovery in the early part of 1961, the Stock Exchange continued to fall up to the most recent period. The share index was 325 last October compared with 415 in March and 443 in October 1961 (1953 = 100). Furthermore, bond yields have been edging upwards. In October 1962, the index of private bonds corresponded to a yield of 6.03 per cent and that of State bonds to a yield of 5.35 per cent compared with 5.42 per cent and 4.98 per cent respectively in October 1961.

TABLE 7. CAPITAL MARKET ISSUES[1]

Billion lire.

	1959	1960	1961
BONDS:			
1. Special credit institutions	262.8	412.1	514.0
2. State - owned corporations (I.R.I. and E.N.I.)	82.9	59.4	115.4
3. Other industrial undertakings	30.0	192.4	93.4
4. Local authorities	4.8	− 0.3	11.5
5. International organisations	—	—	15.0
6. Total bonds (1 to 5)	380.5	663.6	749.3
7. SHARES (adjusted for duplications)	225.0	495.7	416.8
8. Total bonds and shares (6 + 7)	605.5	1,159.3	1,166.1
GOVERNMENT ACCOUNT:			
9. Treasury bonds	287.7	122.9	− 7.9
10. Bonds issued for Treasury's account	51.0	39.4	143.2
11. Total Government account (9 + 10)	338.7	162.3	135.3
12. TOTAL ISSUES (8 + 11)	944.2	1,321.6	1,301.4
Financed by:			
13. The banking system	275.7	228.2	258.5
14. Corporations and the public[2]	668.5	1,093.4	1,042.9

1. Net figures.
2. Including social security and insurance institutions.

Source: Bank of Italy, Annual Reports.

17. The development of the capital market over the last ten years has been spectacular. Four times as many securities were issued in 1961 as in 1950. The total of share and bond issues over the last three years has been 27 per cent of private fixed investment. There has also been an appreciable change in the pattern of issues. The easy position of the Treasury has enabled it to limit its calls on the capital market, with the result that public issues have played a very small part in recent years, whereas at the beginning of the last decade they represented nearly half the issues on the capital market. The launching of public investment plans will no doubt again compel the public sector to make larger direct or indirect calls on the capital market, though it is unlikely that the market will continue to develop at the same rate as in earlier years.

Public Finance

18. The budget accounts for the fiscal year July 1960 to June 1961 showed increases in revenue and expenditure at approximately the same rate (7.5 per cent). The relatively slight increase in budget revenue during a period of marked economic expansion was due to the fact

that certain taxes were reduced. The initial estimates had in fact allowed for a 9 per cent increase in revenue. Expenditure also increased less than had been estimated owing to delay in effecting certain capital outlays. According to the provisional accounts for the fiscal year 1961-62, expenditure rose by about 12 per cent, but revenue increased sharply — by more than 15 per cent.

19. As a result of the difference between the expenditure shown in the budget and that actually effected, the budgetary accounts do not give a true picture of the real trend of the public sector's operations. Moreover, account must also be taken of Treasury operations outside the budget. Thus notwithstanding the higher budget deficit, the Treasury's overall cash deficit remained in 1961 at the same level as in 1960 and lire 180 billion below that of 1959. The Treasury has thus played an appreciably less expansionist role in 1960 and 1961 than it did in earlier years. It should also be indicated that, for constitutional reasons, some of the issues designed to finance the various capital investment projects now planned were made in 1961 and early 1962, although their proceeds were only intended for use during the course of 1962 and subsequent years. The result has been to give the Treasury surplus liquidity, which has enabled it to continue repaying a substantial part of its debt to the Bank of Italy. This state of affairs will however tend to become less marked as investment projects are gradually put in hand. But during the first seven months of 1962 the cash deficit on budgetary operations (" parte effetiva ") was not much greater than in the corresponding period of 1961.

20. The initial budget estimates for 1962-1963 show increases of 11 per cent for revenue and 9.9 per cent for expenditure. The most substantial increases in expenditure are to be found in the appropriations for education, internal and external security, social welfare and pensions. Increased remuneration in the public services is reflected in additional appropriations amounting to lire 150 billion, a large part of which represents salary increases for teaching staff. Capital expenditure will go up slightly, though substantial increases are estimated in public works, industrial development and investment by the Fund for the South. Agricultural investment accounts for lire 100 billion. The revenue increase is mainly due to the widening of the field of taxation. The estimated overall deficit remains the same as the 1961-1962 estimates. The current surplus is continuing to grow, with the result that in 1962-1963 public savings (current receipts less current expenditure) will amount to 12 per cent of total revenue.

21. Since the end of 1959, ten Investment Plans extending over several years have been worked out, representing a total expenditure of lire 4,282 billion. The capital expenditure contemplated in these Plans has already largely been approved by Parliament. Among the most important are the " Green Plan " for agriculture (550 billion), Plans for the improvement of road and rail networks (478 and 1,500 billion

respectively) the " School Plan " (661 billion) and the " Sardinia Plan " (395 billion). The time covered by these Plans varies from five years in the case of the " Green Plan " and the " School Plan " to fifteen years in the case of the " Sardinia Plan ". Financing procedure also varies between the different Plans. In the case of the " Green Plan " and the Railway Plan, for example, capital expenditure will be financed

TABLE 8. PUBLIC FINANCE

A. ADMINISTRATIVE BUDGET " DE COMPETENZA "

Billion lire.

	1958-1959	1959-1960 ACTUAL	1960-1961	1961-1962 FORECASTS	1962-1963 PRELIMINARY FORECASTS
1. Revenue[1]	3,292	3,728	4,008	4,096	4,505
2. Expenditure[1]	3,466	4,152	4,468	4,473	4,894
of which:					
3. Investment expenditure	624	972	966	892	933
4. Current expenditure	2,842	3,180	3,502	3,581	3,961
5. Current surplus (1 — 4)	450	548	506	515	544
6. Overall deficit (1 — 2)	— 174	— 424	— 460	— 377	— 389

1. Excluding public debt operations.

B. CASH OPERATIONS OF THE TREASURY AND FINANCING OF PUBLIC DEFICIT

Billion lire.

	1959	1960	1961
1. Budgetary receipts	3,323	3,786	4,052
2. Budgetary expenditure	3,636	3,892	4,189
3. Budgetary deficit (1 — 2)	— 313	— 106	— 137
4. Other Treasury operations	28	35	103
5. Total Treasury cash deficit (3 + 4)	— 285	— 71	— 34
6. Operations with the " Cassa dei depositi " and with autonomous institutions	— 230	— 261	— 299
7. Global cash deficit (5 + 6)	— 515	— 332	— 333
financed by:			
8. External debt	—	— 11	— 12
9. Money market	43	12	25
of which:			
10. Bank of Italy	— 552	— 130	— 79
11. Commercial banks	496	59	104
12. Capital market	472	331	320

Source: Bank of Italy, Annual Reports.

by loans from the Consortium for Public Works, the loans being serviced from the budget. Others, like the " School Plan " will be financed direct from the budget. Finally, in the case of the Motorway Construction Plan, there will be a combination of budget credits and loans from the Consortium. For the financial years 1962-1963 to 1964-1965, total estimated capital expenditure under these Plans amounts to lire 1,761 billion, 1,166 of which will be shown in the budget. In view of the fact that some of the expenditure estimated for the two preceding fiscal years was not effected, the Government might in fact exceed this figure. In June 1962, the total expenditure, current and capital, shown in the budget but not effected, amounted to lire 2,825 billion compared with 2,320 billion in June 1961. Thus, in the three financial years 1959-1960 to 1961-1962, these outstanding commitments have increased by more than 1,000 billion lire.

III. External transactions

Recent developments in the balance of payments and external trade

22. For the fourth year running, there was a substantial surplus on the balance of current transactions and transfers. In 1961, it amounted to nearly $ 500 million or $ 260 million more than in 1960, mainly as a result of a reduction in the trade deficit and the growth of receipts from tourism and private transfers. Very large inflows of private long-term capital were recorded, largely offset by high outflow of unidentifiable funds. The overall balance of payments surplus was $ 135 million more than in 1960. According to the statistics of the Exchange Office (on a cash basis), during the first three quarters of 1962 the current account surplus was about $ 30 million higher than in the corresponding period of 1961 and the recorded inflow of private capital approximately at the same level; but due to a big increase in unidentifiable outflows, the overall surplus was $ 216 million compared to $ 454 million in the first three quarters of 1961.

23. The value of imports increased by 10.5 per cent in 1961 (after the exceptional rise of 40 per cent in 1960). The volume increase was 14 per cent, as there was a fall in average values. During the early part of the year imports of agricultural produce went up appreciably, due to the poor harvests of 1960. On the other hand, imports of raw materials, which had remained low after the end of the stock-building movement in 1960, increased in the second part of last year. Finished industrial products, especially capital goods, showed the largest increases in 1961, namely 22 per cent in volume; food products went up by 18 per cent (but only by 4 per cent in value) and industrial semi-finished products by 15 per cent. During the first nine months of 1962, the total value of imports was 13.5 per cent higher than in the corresponding period of 1961, although imports of food products were much lower (—15 per cent in volume in January-July); all the other main categories of imports were expanding appreciably.

TABLE 9. BALANCE OF PAYMENTS

In million dollars.

	1960	1961
1. Imports	4,204.4	4,658.5
2. Exports	3,570.6	4,108.3
3. Trade balance	— 633.8	— 550.2
4. Foreign travel	548.1	647.4
5. Income from work	150.7	190.7
6. Other services	32,1	— 54.4
7. Balance on services	730.9	783.7
8. BALANCE ON GOODS AND SERVICES	17.1	233.5
9. PRIVATE TRANSFERS	214.0	260.7
10. TOTAL UNILATERAL TRANSFERS	219.9	269.2
11. Private long-term capital	316.2	503.7
12. Public long-term capital	35.5	32.0
13. TOTAL LONG-TERM CAPITAL	351.7	535.7
14. MONETARY MOVEMENTS	— 442.5	— 577.4
of which:		
15. Change in official reserves (— = increase)	— 127.2	— 339.5
16. I.M.F. position	—	— 175.3
17. Other official	— 47.1	— 102.3
18. Foreign position of commercial banks	— 268.2	— 39.7
19. ERRORS AND OMISSIONS	— 226.2	— 461.0
of which:		
20. Redemption of Italian bank notes	— 185.2	— 329.6

Source: Bank of Italy, Annual Report for 1961.

24. Exports increased in volume last year at about the same rate as in 1960, i.e. 20 per cent; but due to different movements in prices the increase in current value was 15 per cent compared to 26 per cent in 1960. The growth of exports was more pronounced in the second part of last year, due partly to very high exports of agricultural products, which continued into the first months of 1962. But exports of finished industrial products, especially mechanical engineering products, showed again the greatest rise in 1961 (+ 24 per cent in volume). In the first nine months of 1962, the value of exports was 13 per cent higher than in the same period of 1961; excluding food products, the volume increase between the first seven months of 1961 and 1962 was about 10 per cent. There were, however, some indications that the rate of growth of exports of manufactures, especially investment goods, was declining appreciably in the more recent period. This change should be attributed mainly to cyclical developments in foreign markets.

25. The surplus on the balance of services in 1961 amounted to $ 784 million. Among the most substantial increases, reference should be made to tourism (+ 18 per cent), transport and income from labour. Transfers by emigrants increased by 22 per cent. In the firstnine

TABLE 10. INDICES OF FOREIGN TRADE IN 1961
(ITALY AND SELECTED MEMBER COUNTRIES)

A. VOLUME INDICES

	1953 = 100		1957 = 100	
	IMPORTS	EXPORTS	IMPORTS	EXPORTS
Italy	261	336	181	189
European Member countries combined	197	190	140	136
France	190	202	126	154
Germany	316	269	166	143
Netherlands	214	196	135	144

B. AVERAGE VALUE INDICES

1953 = 100.

	AVERAGE VALUE INDEX OF IMPORTS	AVERAGE VALUE INDEX OF EXPORTS	TERMS OF TRADE
Italy	83	84	101
European Member countries combined	94	102	109
France	130	131	101
Germany	88	102	116
Netherlands	97	98	102

Source: O.E.C.D. General Statistics.

months of 1962, the cash figures of the Exchange Office showed an increase in the surplus on invisible transactions, which exceeded the rise in the trade deficit.

26. Capital movements were exceptionnally high in 1961 and the first three quarters of 1962. The inflow of long-term capital last year amounted to $ 1,413 million compared with $ 1,025 million in 1960 and the outflow was $ 887 million compared with 673 $ million in 1960. In interpreting these figures, however, it should be borne in mind that the outflow of unidentifiable funds was also increasing at the same time. In particular the amount of Italian bank notes presented from abroad rose from $ 185 million to $ 330 million. With regard to the inflow of capital, it may be indicated that the amount of public borrowing in 1961 rose again to $ 85 million including about $ 50 million lent by the I.B.R.D. and the European Investment Bank to the Fund for the South. On the other hand, the Italian Government has granted credit to under-developed countries, partly in the form of the consolidation of short-term loans, to the amount of $ 39 million. Italy has also repaid public credits amounting to $ 35 million. This latter figure, however, does not include

the buying in by the Exchange Office of I.B.R.D. bonds and securities representing other Italian public borrowing for the net sum of $ 82 million. Finally, it is important to mention that for the first time an I.B.R.D. bond issue for $ 24 million took place in 1961. Two other issues, of $ 24 million each, were authorised for the Inter-American Development Bank and the European Investment Bank. In the first nine months of 1962 net public borrowing was insignificant. The volume of private capital movements expanded further, resulting in the net outflow mentioned above; in particular the outflow corresponding to the redemption of Italian bank notes (included in current statistics under capital operations) amounted to $ 560 million, i.e. to much more than for the entire year 1961.

27. The surplus on current and capital balance has meant an increase of $ 577 million in Italy's foreign assets in 1961, $ 399 million of which were in the form of an increase in the official gold and convertible currency reserves. In addition $ 175 million have been lent to the I.M.F. The net foreign position of the commercial banks, which was almost balanced in 1960, has been practically unchanged. The total figure of $ 577 million also includes the buying in by the Exchange Office referred to above. In the first ten months of 1962 official reserves fell by $ 137 million, whereas they had increased by $ 314 million in the corresponding period of 1961. The difference was due essentially to the change in the net flow of private capital. At the same time, the policy of anticipated repayment of public debt was continued; practically the entire long-term debt to the United States — $ 178 million — was repayed by Italy in July last.

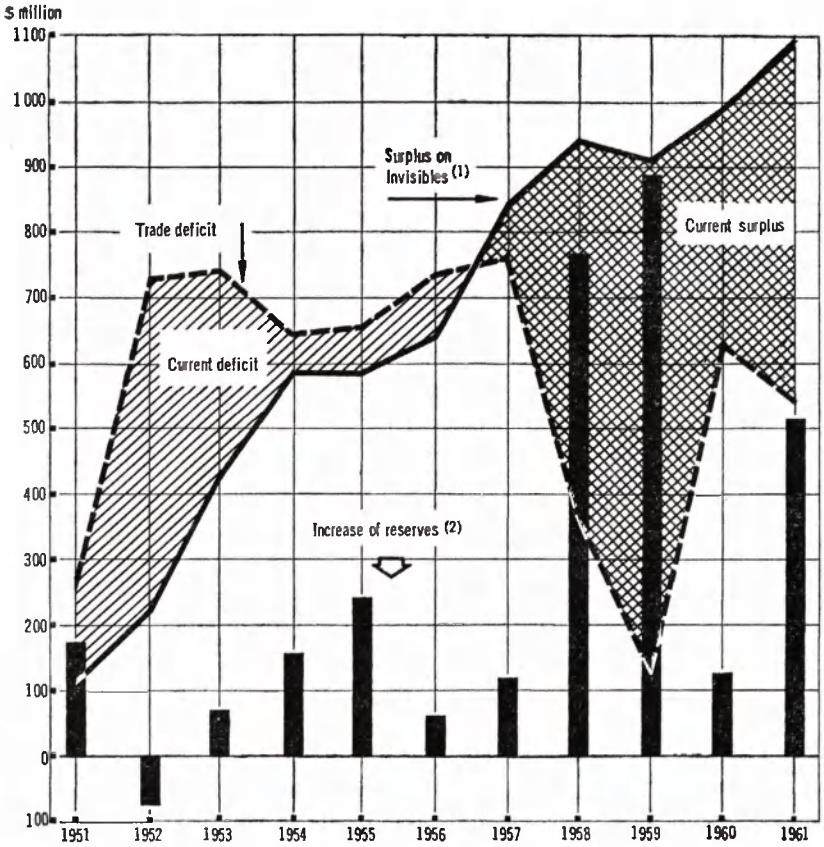
Balance of payments trends

28. The latest statistics available indicate that on current account the Italian balance of payments is still in surplus. The progressive improvement of the current account during the early fifties led for the first time to a small surplus in 1957, which grew substantially in the more recent years. There has also been an increasing influx of private long-term capital, but this was offset to a great extent by the fact that the earlier large inflows of public capital have dwindled and by an increase in the outflow of private, non identifiable funds. It was the surplus on current transactions and private transfers which constituted the main cause of the remarkable increase in reserves during the recent years. The total increase of gross official reserves and of the net I.M.F. position in the five years from the end of 1956 to December 1961 was nearly 2.6 billion dollars. Official reserves stood at $ 3.419 million last December and at $ 3.282 million in October 1962, representing between seven and eight months' imports at the 1961 cif rate.

29. The figures for 1961 represent roughly the main characteristics of the balance of payments on current account during the recent years: a structural surplus on invisibles and private transfers of the order of

one billion dollars and a trade deficit (on an fob basis) of about $ 500 million which has shown no signs of being on the increase in this period. The steady growth of both invisible receipts, especially from tourism, and of workers' and emigrants' remittances has made an important contribution to the appreciable surpluses of recent years. But the more striking feature has been the expansion of Italian exports; from an average of $ 1.425 million in 1950-1953, the value of exports has passed to $ 1.980 million in 1954-1957 and to $ 3.265 million in 1959-1961. This expansion has, naturally, been favoured by the general growth of demand in world markets. But, as shown in Table 10, the volume increase of Italian exports has exceeded by far the increase of exports of European Member countries combined. With particular

Diagram 1. BALANCE OF PAYMENTS

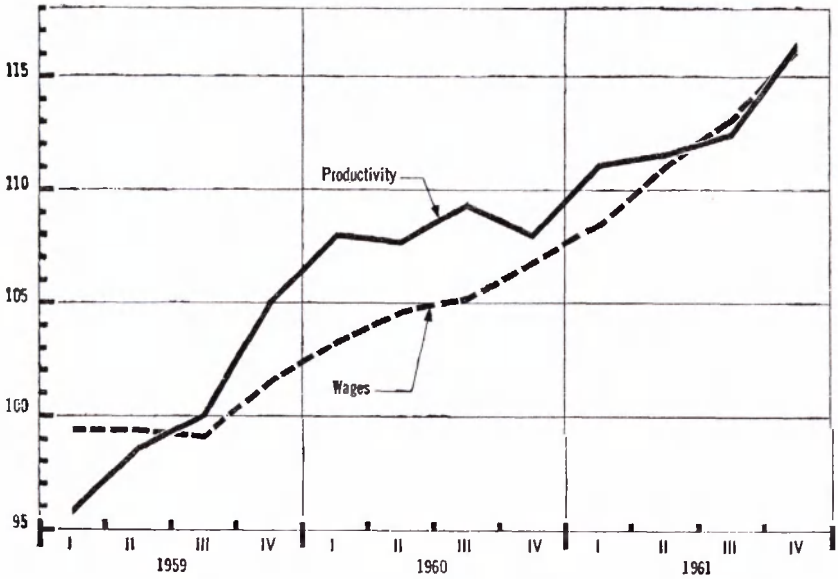


1. Invisibles, government transactions and private transfers.
2. Official reserves in gold and convertible currencies and net I.M.F. position.

Sources: Italian submission to the O.E.C.D. and Bank of Italy.

Diagram 2. HOURLY WAGES AND PRODUCTIVITY IN A GROUP OF MANUFACTURING INDUSTRIES[1]

1959 AVERAGE = 100



1. Only firms covered by the Ministry of Labour's series on gross hourly earnings.

Source: Bank of Italy, Annual Report 1961.

TABLE 11. TRENDS IN WAGES AND PRODUCTIVITY

1953 = 100.

	GROSS HOURLY WAGES[1]			OUTPUT PER MAN-HOUR			LABOUR UNIT COSTS		
	1			2			1 : 2		
	1959	1960	1961[2]	1959	1960	1961[2]	1959	1960	1961[2]
Belgium	133	138	143	134	139	143	99	99	100
France	120	130	141	149	155	161	81	84	87
Germany	145	158	181	148	159	164	98	99	110
Italy	131	137	147	152	163	169	86	84	87
Netherlands	153	167	183	125	138	135	122	121	135
United Kingdom	142	155	161	117	124	126	121	125	128
United States	126	130	133	117	120	124	108	108	107
Japan	136	148	164	150	174	192	91	85	85

1. Indices calculated on the basis of dollar equivalents.
2. Provisional.

Source: Bank of Italy, Annual Report for 1961.

reference to exports of manufactures, only Japan, among the industrialised countries, has shown a greater increase than Italy (+ 263 per cent and + 247 per cent respectively from 1953 to 1961).

30. The essential basis of Italian success in the export field has undoubtedly been the fact that the relative trends of productivity and wages have been more favourable than in a number of other competing countries (see Table 11). This factor has probably also reinforced keen interest in export markets and success in design. As regards future prospects, it may first be noted that, although exports as a percentage of national product rose from 8 per cent in 1953 to 12 per cent in 1961, this last figure is not particularly high. Furthermore, productivity gains will probably continue to be important in the coming years. And even if wage increases were to accelerate, it seems unlikely that the competitive position of Italian exports will change substantially, having regard to the trend of wages and costs in some other industrialised countries. It would seem, therefore, that, provided demand conditions in foreign market are normal, Italian exports should continue to increase appreciably in the next few years, even though perhaps not quite at the past, exceptionnally high rate.

31. Since further gains on invisibles and private transfers seem also likely in the coming years, a substantial reduction of the current surplus can only be expected through an increase of imports. The rate of increase in the volume of imports from 1957 to 1961 has been about double the rate of the preceeding four years. This acceleration was partly due to special circumstances, but it is reasonable to conclude that the level of imports is quite sensitive to increases in the rate of growth of the Italian economy. However, in spite of this acceleration in the growth of imports, there was no clear tendency towards an increase of the trade deficit. The expansion of demand in Italy has been very high in recent years, compared to other Member countries, but an even higher rate of growth would be required for an important reduction in the current balance of payments surplus. Such high rates are, of course, primarily required because of the still comparatively low income levels and the important development needs of large parts of the country. As regards the components of further growth of domestic demand, it might be remarked that the planned increases in public expenditure for investment, education, health etc. — which are eminently desirable *per se* — will probably have a more marked impact on the external surplus than increases in directly productive investment.

IV. Some long-term aspects

32. The Italian economy has improved during the last three years on its already remarkable record of the nineteen-fifties. The steady and rapid growth of the national product, in conditions of internal financial stability and with a rising external surplus, has radically improved the country's relative position compared to other industrialised

Member countries. It is true that average income per head is still considerably lower than in other developed countries of Western Europe, but the progress made in a comparatively short period is already substantial.

33. These achievements, as well as the persistence of unsolved major economic problems, have been the object of very ample comment and of a great volume of studies, both in Italy and elsewhere. The factors of rapid growth on which such discussions have thrown light are, naturally, numerous and complex. For example, the discovery of new energy sources and mineral deposits in Italy after the war has played a significant role. And various technological developments have reduced the comparative disavantages of Italian industry resulting from the country's geographical situation and scant indigenous supply of industrial materials. Nevertheless, the following aspects of past economic developments in Italy appear to merit special attention, in view of certain issues of general economic policy that seem likely to be important for the future.

34. Of decisive importance for subsequent developments has been the basic option of the Italian authorities, made in the late forties and largely determined by bitter pre-war experience, against autarkic economic policies. The line of rapid liberalisation of foreign trade and payments has been followed consistently ever since. (At present, extremely few non-agricultural imports are still subject to quantitative restrictions). The fact that developments in world markets were in general favourable throughout the fifties made, of course, possible the success of such policies. But another necessary condition was satisfied already by the end of 1947, namely the drastic arrest of inflationary pressures. The maintainance of internal financial equilibrium has been throughout the period under review a principal concern of the authorities. It should, however, be added that orthodoxy in this matter was not carried to extreme lengths. Both fiscal and monetary policies have been such as to allow expansion; and in recent years the monetary authorities have taken some calculated risks in injecting additional liquidity to the economy.

35. Such policies have allowed the underlying real factors to operate to the best advantage of economic growth and of the balance of payments position. An important support for the latter (after the period of reconstruction and foreign aid) came from the growing structural surplus on invisibles and private transfers. But the growth of foreign trade and especially of commodity exports has been very substantial. From 1953 to 1961 the annual average volume increase of exports was 16 per cent and no deceleration is evident in the later years. This has been an important element in the growth of total demand, and also a potent factor of economic transformation given the constantly increasing share in total exports of the products of the more advanced branches of industry (engineering, chemicals, synthetic fibres, etc.).

36. Among the real factors of economic growth, the more important has certainly been the co-existence of large labour reserves and of an already sufficiently developed industry, largely concentrated in the North-Western provinces. It is the development of Northern industry that has constituted up to the present the principal dynamic element in the economy. This development was based on the abundant supply of labour, but some of the actual consequences of excess labour were not those suggested by certain abstract economic models. For instance, the trend was clearly away from labour-intensive techniques; and the autonomous market forces resulted in much higher capital investment for each new job than had been foreseen in the very careful projections incorporated in the "Vanoni Plan" of 1954[1]. The important inter-action of economic factors in practice could, perhaps, best be described as follows: The low initial level of wages increased rather moderately because of the pressure of unemployment; with the expansion of total demand, which was helped by public policy and was sustained by the growth of exports, the volume of profits rose considerably and allowed an increased rate of investment; this in turn resulted in higher output per man-hour and thus in increased rates of profit. Particular incentives for higher industrial investment have come initially from the urgent need of modernisation in important branches like the steel industry; then from the need to meet competition both with imports and in foreign markets, the importance of which was growing for Italian industry: finally, the mechanism of feed-back between high profits, high investment and rapid growth of productivity came into full swing.

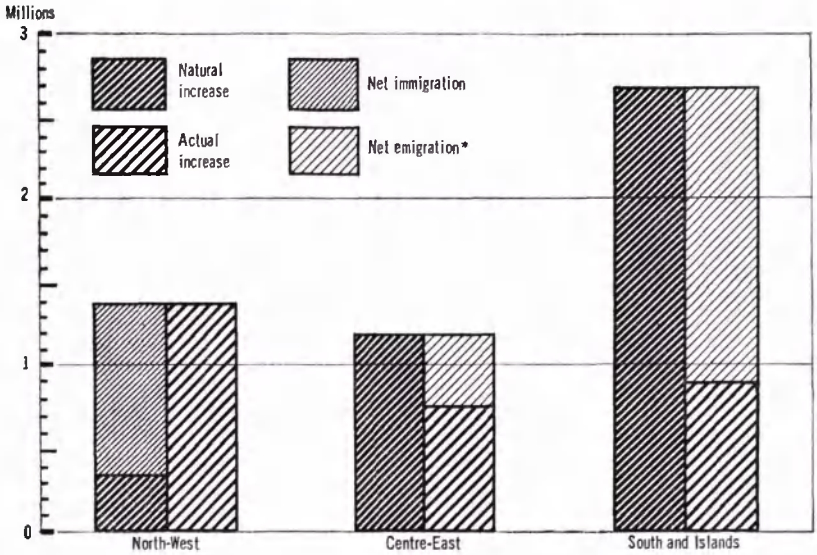
37. The existence of excess labour has also, of course, directly facilitated the growth of output. The importance of this factor should not be measured only by the net additions to industrial employment. This situation has also permitted — in conditions of expanding demand — the multiple shifts of labour which have contributed to the adaptability of industrial production and raised its elasticity of supply: shifts from the country-side to the town, from " occasionally occupied " to regular employment, from semi-industrial occupations to factories, and between different industrial sectors, plants or even departments. Such transfers of labour are still continuing today, the main ultimate source being the under-developed South.

38. Government economic policy has not been confined to influencing the general conditions of economic activity; there have also been important specific interventions, among others the series of measures for promoting development of the South; the State-owned corporations have also been used to a certain extent towards specific objectives of Government policy. However, the general orientation and type of economic development have been determined by the free play of market forces. A striking facture of this situation is that, with rising incomes, patterns of consumption originating in much more developed and

1. Cf. Riconsiderazione...

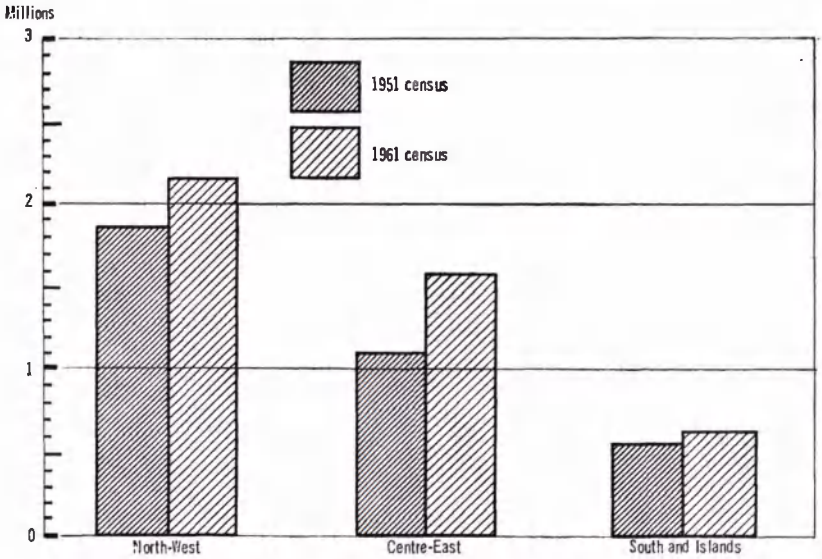
Diagram 3. POPULATION TRENDS AND MANUFACTURING EMPLOYMENT BY REGIONS

a) POPULATION CHANGES BETWEEN THE 1951 AND THE 1961 CENSURES



* Net foreign emigration from the whole of Italy during this period: 1,194.000.

b) NUMBERS EMPLOYED IN MANUFACTURING INDUSTRY



Source: " Problemi e Prospettive dello Sviluppo Economico Italiano ".

opulent societies have been spreading very rapidly among the Italian population. This has in turn exerted a primary influence on the patterns of production and investment.

39. Despite the satisfactory results already achieved, Italy continues to be faced with some major economic problems. The directions of economic development so far have been such as not to correct, and in some cases even to aggravate, economic desequilibria between different areas of the country, different productive sectors (notably between industry and agriculture which employs still nearly 30 per cent of the labour force) and between various social groups. Moreover, it is generally recognised that the growth of industry and the attendant population shifts create additional urgent requirements for general economic infrastructures and social services; and that there is need for great expansion and improvement in educational and training facilities.

40. The greatest attention continues to be paid in Italy to the problem of the under-developed areas, which are mainly — though not exclusively — concentrated in the South. For more than ten years, special important measures have been taken with the objectives, first, of reducing the gap in income and production levels between the industrialised North and the backward Southern provinces; and second, of initiating in the latter area a process of development, which, after a time, would become self-sustaining. To these ends, considerable amounts have been spent on public works, agricultural improvements etc. in the South and progressively increased fiscal and credit incentives have been given to private investors. The results achieved have by no means been insignificant, but the main objectives have not so far been attained. First, the North-South gap has been increasing up to 1960, although income in the South has grown appreciably, and per caput income even more, due to higher emigration. As was mentioned previously, only in the year 1961 did the rate of growth in the South exceed that of the North. It is noteworthy that, with the exception of 1961, the transfers, public and private, to the South have exceeded gross investment in the region, so that they have partly financed the increase of Southern consumption. Second, and perhaps more important, there is no doubt that the autonomous forces of industrialisation and development are not yet powerful enough, so that massive State intervention continues to be required.

41. It is true that the more recent emphasis of public policy concerning the South looks much more promising. The increased attention to industrialisation, the concentration of effort in selected, smaller " development areas ", and above all, the location of some new big production units of State-owned enterprises in this area will probably contribute more to the region's development than the traditional type of measures. Still, the private sector, except for the very big firms, does not yet participate sufficiently in industrial investment in the South:

and the creation of new jobs in local industry is rather limited, so that the traditional flow of workers to the North is accelerating. One conclusion drawn by the Government, as indicated in official pronouncements, is that much greater co-ordination is required in policy measures affecting the South. It has been pointed out for example that, despite the policy of increased public works in this region, their average volume increase has been 4 per cent a year, compared to 9 per cent for the Northern areas.[1]

42. But conclusions of a more general and far-reaching nature regarding the country's basic economic problems are contained in a special report submitted by the Minister of the Budget to Parliament.[2] This report contains a comprehensive analysis of post-war economic trends in Italy and highlights both the positive achievements and the existing problems, whether of long standing of newly created. Although many of the factors responsible for rapid economic growth in the past may be expected to continue operating in the coming years, the report points to the need of policy measures which would ensure the continuation of high rates of growth. It also underlines the necessity of more decisive action for the solution of the existing economic and social disequilibria. Finally, it points to the importance of greater co-ordination of measures of public policy and announces the Government's intention to introduce a degree of general economic planning in the Italian economy. Unlike the " Vanoni Scheme " of 1954 (which was a set of co-ordinated projections and a description of coherent desirable directions of policy but did not acquire an operational character) the present aim is a general plan of action. The special long-term programmes already approved will, naturally, be carried out. But the Government's intention for the future is that the various specific measures to be taken — for the development of the South, for agricultural improvements, for extended public works, etc. — should all be integrated into a general economic plan.

V. Prospects and conclusions

43. After three years of considerable growth of the national product, the Italian economy remains at a high level of activity; and, although some temporary fluctuations cannot be excluded, it is clear that the underlying expansionary forces continue to operate. Industrial output, which has more than doubled since 1953, has been in recent months only slightly above the record levels reached last winter, but many branches were showing signs of further progress. There are at present no indications of weakening of global demand, despite some uncertainty about the continued growth of exports in the near future. And a sizable current surplus in the balance of payments is again likely for 1962.

1. " Relazione sulle Attività di Co-ordinamento ", April, 1962.
2. " Problemi e Prospettive dello Sviluppo Economico Italiano ", May 1962.

44. The short-term prospects look favourable, assuming no substantial deterioration in world markets. This condition is of special importance, because the steady and remarkable growth of Italian exports has provided so far a primary impulse to the growth of total demand; and there is evidence that developments in some foreign markets are affecting unfavourably the flow of export orders for certain manufactures, although the competitiveness of Italian exports remains strong. But domestic demand should continue to expand in the near future. It is probable that the recent more pronounced upward trend of consumers' expenditure will continue. The significant growth of non-farm employment in 1961-1962 and the virtual disappearance of excess labour in some regions have been accompanied by increases in effective money wages exceeding those of recent years. Although total labour reserves in the country remain substantial, there are indications that the rising tendency of wages will continue. The consequent increase of consumption expenditure may be expected to help in sustaining private productive investment, which still seems to be running at its recent high level, although the implementation of some investment plans may possibly be delayed. Higher investment outlays have been announced by the state-owned enterprises, and the trend in building and construction activity is upwards, after the decline noticed earlier in the year. In short, total demand is likely to grow further, but there is no sign whatsoever that it may become excessive in the coming months.

45. Against this background, continued expansionist policies would seem to be completely justified. The marked upward tendency of prices in recent months cannot be considered as an indication of demand pressures. These price increases were partly the result of some temporary influences and also of the fact that wage increases in the growing sector of services tend to follow those accorded by industry; furthermore, wage costs in industry have probably risen during the more recent period. It would seem that the objective of relative price stability should at present be pursued through specific selective measures. Action to influence food prices may often be of a long-term nature, e.g. through overdue improvements in the distributive system. But compensating reductions in some other prices might be secured in a shorter time. To this effect, the taking of all possible steps to promote imports is of special importance; the recent unilateral reductions of import duties are an indication that the Italian authorities intend to apply this kind of specific measure rather than to restrict demand at the risk of slowing down the growth of the economy and the increase of labour productivity. On the contrary, they have just announced important measures aiming to inject new liquidities into the economy, which seem entirely justified in the present circumstances.

46. Although exact statistics are not available, there is evidence that wage rises exceeded productivity gains during the more recent period, so that unit labour costs may have somewhat increased after

falling substantially for several years. Given the existence at present of capacity margins, a speedier increase of industrial output would probably result in important productivity gains. But even if the increase of unit labour costs is confirmed it would still not seem of great importance for the near future, especially if account is taken of cost developments in some other industrialised countries.

47. Increased attention is now being given in Italy to longer-term economic problems, since the remarkable growth of total output and income already achieved and the comfortable foreign surplus provide greater scope for action to solve the considerable problems which have already existed for some time and those created by the rapid transformation of the country's economic structure. First, there is a need of substantial increases of public investment in transport and communications, public works and other general infrastructure as well as for higher outlays on education, training and public health. Certain important programmes are already being carried out; but the deficits which have been forecast for the public sector in the next few years might have to be further increased. The policy of increasing public expenditure for such purposes is likely to contribute to a reduction of the present balance of payments surpluses; it would thus involve a re-allocation of real resources which would clearly be in the country's interest.

48. The problems of unemployment and under-employment remain of major importance, although the situation in certain provinces has improved substantially compared to a few years ago. Net emigration of workers has probably been of the same order of magnitude as the reduction of unemployment in Italy in recent years. Moreover, the measures which need to be taken to raise investment and productivity in agriculture are not likely significantly to increase the total man-hours required by this sector. And while the increased absorption of labour in services includes certain types of employment that must expand with economic development (transport, education etc.) there is a considerable element of employment in, e.g., small retail units where the net social product per employed person is comparatively low. Despite the progress already made, much still remains to be done. And, given the fact that internal migration to the North is already appreciable, an approach to a solution of Italy's employment problem depends largely on the industrialisation of the Southern provinces.

49. The extensive measures taken during the last decade to encourage industrialisation in the South have not so far succeeded in setting in motion a process of autonomous development, nor in reducing the production and income disparities with the North. The methods of direct promotion of important industrial investments adopted in recent years hold much greater promise of quick results than the previous exclusive reliance on public works and special incentives to private industry. But it is now realised that a necessary condition for promoting

development in the South is that specific measures should be co-ordinated within a general framework of policy covering the economy as a whole.

50. The pattern and location of investment imposed by the need to industrialise sizeable areas of the South will probably be quite different from what would result from industry's own profit and market criteria. This is one of the more important reasons for the Government's decision to prepare a national economic plan, which would directly influence the pattern of industrial investment and into which would be integrated the various special programmes for agriculture, public works, etc. The practical application of these general principles, which are broadly similar to those adopted in certain other Member countries, will be of great importance to balanced economic development in Italy as a whole.

STATISTICAL ANNEX

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TABLE 1. NATIONAL PRODUCT AND EXPENDITURE

Billion lire.

	AT CURRENT PRICES				AT 1954 PRICES			
	1958	1959	1960	1961	1958	1959	1960	1961
1. Private consumption	10,908	11.356	12,235	13,194	9,953	10,492	11,211	11,992
2. Public consumption	2,447	2,649	2,896	3,188	2,081	2,160	2,293	2,420
3. Gross fixed capital formation	3,481	3,786	4,441	5,058	3,241	3,568	4,122	4,598
4. Changes in stocks	95	149	305	300	95	158	319	312
5. Exports of goods and services	2,521	2,801	3,411	3,923	2,474	2,884	3,430	4,011
6. Total use of resources	19,452	20,741	23,288	25,663	17,844	19,262	21,375	23,333
7. Imports of goods and services	2,338	2,451	3,351	3,751	2,285	2,511	3,439	3,959
8. Gross national product at market prices	17,114	18,290	19,937	21,912	15,559	16,751	17,938	19,374
9. Gross domestic product at factor cost[1]	15,013	15,961	17,497	19,115	13,671	14,635	15,718	16,897
of which:								
10. Agriculture, forestry and fishing	3,011	3,033	2,993	3,297	3,134	3,217	3,055	3,278
11. Mining and quarrying, manufacturing and public utilities	5,186	5,614	6,358	7,062	5,146	5,724	6,506	7,131
12. Construction	1,072	1,177	1,276	1,405	882	968	1,012	1,088
13. Other (transport, commerce, banking, public administration and miscellaneous services)	5,971	6,354	7,045	7,675	4,712	4,918	5,289	5,673

1. Adjusted to offset some duplications in estimates by sectors.

Source: Information supplied by the Italian Authorities.

TABLE II. PRODUCTION AND OTHER BUSSINESS INDICATORS

Monthly average.

	UNIT OR BASE	1958	1959	1960	1961	1961				1962		
						1ST QTR.	2ND QTR.	3RD QTR.	4TH QTR.	1ST QTR.	2ND QTR.	3RD QTR.
I, INDUSTRIAL PRODUCTION:												
1, Total	1953 = 100	142	158	182	200	193	196	194	214	217	216	208
2, TOTAL (adjusted for seasonal variations by I.S.C,O.)	—	142	158	182	200	192	196	198	213	216	215	216
3, Mining	—	159	171	180	194	191	183	197	204	197	186	193
4, *Of which:* Oil Wells	—	296	344	373	389	392	369	380	430	411	367	371
5, Manufacturing industries	—	143	159	184	202	196	199	196	218	220	220	211
6. Textiles	—	105	116	127	126	187	125	121	132	135	134	127
7. Food and drink	—	126	137	145	152	152	135	136	185	167	153	143
8. Basic metal industries	—	171	184	228	248	242	250	243	257	257	255	252
9. Engineering goods	—	128	137	164	189	184	200	180	198	206	201	172
10. Transport equipment	—	171	189	228	256	246	266	246	275	301	300	276
11. Chemicals	—	177	209	244	275	255	268	277	302	303	311	308
12. Miscellaneous petroleum products	—	180	193	227	256	242	245	263	276	279	290	316
13. Artificial textile fibres and cellulose	—	183	238	285	325	290	307	325	375	407	418	402
14. Electricity and gas	—	132	141	158	171	170	167	167	183	186	174	174
II. BUILDING ACTIVITY:												
1. Dwellings finished	thousands of rooms	110	110	107	114	110	120	105	123	96	108	116
2. Building plans approved	—	137	159	141	167	149	185	173	160	180	203	168
3. Number of man-days in public works	thousands	7,320	7,346	6,878	6,309	5,732	6,872	6,739	5,893	4,593	5,596	5,485[1]
4. Value of public works begun	billion lire	54	59	61	62	50	69	70	62	46	59	63[1]
III. CONSUMPTION:												
1. Retail sales (in department stores)	1955 = 100	141	157		194	165	182	178	252	165	206	186[1]
2. Private cars bought	thousands	17.4	21.1	31.7	41.0	40.8	43.3	40.3	39.6	51.0	57.6	48.3

1, July-August,

Sources: I.S.T.A.T., I.S.C.O. and O.E.C.D. General Statistics.

Table III. EMPLOYMENT

Average figures: in thousands.

	1959	1960	1961	1962 [1]
1. Labour force	20,692	20,815	20,991	20,977
Employment:				
2. Agriculture	6,256	6,225	5,907	5,673
3. Industry	7,288	7,593	8,012	8,256
4. Other	6,020	6,151	6,348	6,421
5. Total employment	19,564	19,969	20,267	20,350
6. Unemployment (I.S.T.A.T. sample surveys)	19,564	19,969	20,267	20,350
	1,128	846	724	627
7. Unemployment (registered in labour exchanges, categories I and II)	1,689	1,546	1,407	1,155[2]

1. Provisional.
2. First ten months.

Sources: I.S.T.A.T. and Ministry of Labour.

TABLE IV. WAGES AND PRICES

	UNIT OR BASE	1958	1959	1960	1961	1961				1962			
						1ST QTR.	2ND QTR.	3RD QTR.	4TH QTR.	1ST QTR.	2ND QTR.	3RD QTR.	4TH QTR.
1. Wage rates in industry	1953 = 100	126	128	134	140	138	138	139	142	149	152	158	162[1]
2. Wage rates in agriculture	—	123	126	127	133	130	132	135	136	141	146	159	169[1]
3. Hourly earnings in industry and building	lire	219	225	236	252	245	250	253	262	274	286	—	—
4. Cost of living	1953 = 100	118	118	121	125	123	124	125	126	128	131	132	—
of which:													
5. Food	—	115	112	113	115	113	114	115	116	117	120	—	—
6. Retail prices	—	113	113	115	118	117	117	118	119	121	123	124	125[1]
7. Wholesale prices	—	101	98	99	99	99	99	98	100	101	102	102	103[1]
of which:													
8. Agricultural products	—	108	100	102	104	104	103	101	106	112	114	113	115[1]
9. Non-agricultural products	—	99	97	98	98	98	98	98	98	98	99	99	—

1. November.

Sources: I.S.T.A.T. and O.E.C.D. General Statistics.

TABLE V. MONEY AND BANKING

Billion lire.

	1958	1959	1960	1961	1961 1ST QTR.	1961 2ND QTR.	1961 3RD QTR.	1961 4TH QTR.	1962 1ST QTR.	1962 2ND QTR.	1962 3RD QTR.	1962 4TH QTR.
I. MONEY (end of period):												
1. Monetary circulation	2,061	2,237	2,424	2,779	2,262	2,313	2,416	2,779	2,527	2,648	2,801	—
2. Sight deposits	3,480	4,084	4,753	5,558	4,732	4,899	5,092	5,558	5,618	5,875	6,109	6,299
3. Money supply	5,807	6,618	7,506	8,759	7,289	7,357	7,832	8,759	8,487	8,906	—	—
4. Savings deposits	4,072	4,738	5,421	6,356	5,590	5,717	5,922	6,356	6,570	6,719	6,992	7,152 [2]
5. Post Office Savings	2,111	2,240	2,461	2,734	2,448	2,590	2,594	2,650	2,793	2,838	—	—
II. CENTRAL BANK (end of period):												
1. Credit to the public sector	1,150	983	932	860	921	849	866	860	877	874r [1]		
2. Credit to the banking system	247	268	301	353	315	350	328	353	369	409r	678	—
3. Credit to the private sector	173	208	213	259	200	211	219	259	221	254r		—
III. BANKS (end of period):												
1. Total bank deposits	7,552	8,822	10,176	11,914	10,321	10,616	11,014	11,914	12,187	12,594	13,100	13,450 [2]
2. Credit	5,210	5,990	7,258	8,701	7,393	7,681	7,978	8,701	8,704	9,149	9,522	—
3. Government securities	1,523	1,879	2,108	2,231	3,191	2,218	2,235	2,231	2,329	2,381	2,418	2,445 [2]
4. Shares and debentures	473	657	857	1,102	831	917	967	1,102	1,207	1,261	1,330	1,410 [2]
IV. SPECIAL INSTITUTIONS FOR MEDIUM AND LONG-TERM CREDIT (end of period):												
1. Credit	2,539	2,921	3,501	4,27	3,655	3,796	4,018	4,271	4,550	4,747	5,058	—
V. CAPITAL MARKET (per cent: monthly averages):												
1. Yield of government securities	6.17	5.41	5.24	4.98	5.04	4.97	4.99	4.94	4.83	5.03	5.28	5.08
2. Yield of other securities	6.70	5.66	5.28	5.30	5.10	5.22	5.40	5.46	5.52	5.73	5.88	5.98
3. Yield of shares	5.24	3.60	2.63	2.44	2.43	2.32	2.49	2.59	2.83	3.12	3.47	3.68

1. End of May.
2. End of November.

Sources: I.M.F., Bank of Italy and O.E.C.D. General Statistics.

TABLE VI. FOREIGN TRADE

Monthly averages.

	UNIT OR BASE	1956	1957	1958	1959	1960	1961	1961				1962			
								1ST QTR.	2ND QTR.	3RD QTR.	4TH QTR.	1ST QTR.	2ND QTR.	3RD QTR.	4TH(1) QTR.
1. Imports c.i.f.	millions of U.S. $	264	302	264	280	396	438	436	443	422	451	484	490	502	556
2. Exports f.o.b.	—	180	212	211	243	306	351	325	331	358	392	376	384	388	423
3. Balance	—	—84	—90	—53	—37	—90	—87	—111	—112	—64	—59	—108	—106	—114	—133
4. Volume of imports	1953 = 100	131	144	143	161	229	261	257	266	253	269	287	292	302	332
5. Volume of exports	—	151	178	189	232	280	336	307	308	339	391	362	375	372	407
6. Terms of trade ...	—	92	90	97	96	102	101	100	104	102	100	99	98	100	100

1. October-November.

Source: O.E.C.D. General Statistics.

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